

HARBOURNE RETAIL GROUP

Capital Project Appraisal

15 Urban Convenience Store Expansion

Prepared by the Corporate Finance Division

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1. Executive Summary

Harbourne Retail Group is proposing a £6.75 million capital investment to open 15 new convenience stores in urban locations across England. The stores would target densely populated residential areas where existing convenience provision is thin. The investment case rests on strong unit economics, a proven operating model, and favourable demand trends in the convenience channel.

Under base case assumptions, the project delivers a net present value of approximately £9.2 million and an internal rate of return around 28%. Payback falls within four to five years. Those numbers sit well above the group's hurdle rate of 8% and justify approval.

The upside case (stronger footfall, tighter cost control) pushes NPV above £18 million with payback in roughly two years. The downside case (weaker revenues, cost inflation) still returns a marginally positive NPV but with a payback period of seven to eight years. That spread matters. It means the project is not fragile, even if conditions disappoint. But it also means the margin of safety in the worst case is thin.

This report recommends approval, with the caveat that a phased rollout (five stores first, then the remaining ten) would let the group validate assumptions before committing the full programme. The accompanying financial model and management presentation provide the supporting detail.

2. Background and Strategic Context

The UK convenience retail market has grown consistently over the past decade. That growth is partly structural. Smaller households, ageing populations, and the shift toward frequent top-up shopping all favour the format. Urban locations benefit more than suburban ones because population density drives footfall without heavy marketing spend.

Harbourne Retail Group already operates a portfolio of convenience stores in mixed catchments. Performance data from existing urban sites shows higher basket frequency and stronger like-for-like growth than suburban equivalents. The proposed expansion follows that pattern.

The competitive picture is not straightforward, though. Discounters have been expanding aggressively into urban convenience. Delivery apps have taken a portion of impulse spend. And labour costs in city centres are rising faster than in other areas. None of those factors are disqualifying, but they do put pressure on the margin assumptions. The model reflects that.

The strategic logic is simple. Convenience is a format where scale matters for buying power but where individual store performance depends heavily on location. Harbourne's site selection process has been strong historically. If the same discipline holds for these 15 sites, the economics should work.

3. Investment Overview

The proposal covers 15 new stores, all in urban locations across English cities. Each store requires capital expenditure of approximately £450,000 in the base case. That covers fit-out costs,

refrigeration units, shelving, point-of-sale systems, IT infrastructure, and external signage. Total investment comes to £6.75 million.

Stores would open on a rolling basis through Year 1. The model assumes a 75% ramp factor in the first year to account for the staggered opening schedule. From Year 2 onwards, all stores operate at full capacity.

Each store is modelled on a 10-year commercial lease. Depreciation runs straight-line over the same period. There is no terminal value in the model. Any residual value from lease assignments or equipment disposal would be upside to the numbers presented here.

The investment is self-contained. It does not require changes to the group's distribution network or head office overhead. Supply would run through existing channels with minor adjustments to delivery routing.

4. Key Assumptions

Revenue Assumptions

Base case revenue per store is set at £1.8 million per annum at full run rate. That figure sits in the middle of the range for urban convenience stores of this size. Stores opening mid-year in Year 1 are discounted by a 75% ramp factor. Revenue grows at 3% per annum from Year 2, broadly in line with food price inflation and modest volume growth.

The upside case assumes £2.1 million per store (reflecting stronger catchments and better product mix) with 5% annual growth. The downside assumes £1.6 million with only 1.5% growth, reflecting weaker locations and competitive pressure from delivery platforms and discounters.

Cost Assumptions

Cost of goods sold is set at 72% of revenue in the base case. That is consistent with industry norms for grocery-led convenience and with Harbourne's existing store portfolio. The upside case uses 70% (reflecting supplier rebates at scale) and the downside uses 73%.

Staff costs run at £180,000 per store per annum in the base case, growing at 2.5% annually to reflect wage inflation. Rent is £85,000 per store, fixed for the lease term in the base case. Utilities and other operating costs are £35,000 per store, growing at 3% annually.

The downside case models higher rents (£90,000), higher starting staff costs (£190,000), and faster cost escalation across all lines. That combination is deliberate. It tests what happens if the group faces both revenue weakness and cost pressure at the same time.

Capital and Financial Assumptions

Capital expenditure per store ranges from £400,000 (upside) to £500,000 (downside), with £450,000 in the base case. Depreciation runs straight-line over 10 years. Corporation tax is 25%. Working capital is modelled at 5% of revenue. The discount rate (WACC) is 8% across all scenarios.

5. Financial Analysis

The base case model shows a clear trajectory. Year 1 free cash flow is close to breakeven after the working capital build. From Year 2, free cash flow rises above £2 million annually and continues to grow modestly with revenue.

Cumulative cash flow turns positive around Year 4 to Year 5. Net present value at an 8% discount rate is approximately £9.2 million, which is a strong result for a £6.75 million initial outlay. The internal rate of return sits around 28%, well above the cost of capital.

The NPV sensitivity analysis shows the project remaining value-positive at discount rates up to 14%. At 4%, NPV rises above £14 million. At 12%, it still sits around £5 million. That resilience to the discount rate is important. It means the return is not a narrow artefact of a low hurdle rate.

EBITDA margins in the base case settle around 11% to 12% from Year 2 onwards. That is tight by general retail standards but typical for convenience grocery. The business model is volume-driven, not margin-driven. Profitability comes from consistent footfall and tight cost control, not from high markups.

6. Scenario Analysis

The three scenarios tested in the financial model are not arbitrary. They reflect specific operational stories.

The upside case imagines that Harbourne's site selection performs at the top end of its historical range. Stores land in catchments with strong footfall, limited nearby competition, and a product mix that skews toward higher-margin prepared food and drink. Capex comes in under budget because of contractor efficiencies from a concentrated build programme. This scenario delivers NPV above £18 million and payback in roughly two years. It is ambitious but not unrealistic if execution is strong.

The base case assumes competent execution against average market conditions. Revenue, costs, and growth rates all sit near the centre of observed ranges. This is the planning case and the one against which the recommendation is made.

The downside case models what happens if several things go wrong at once. Locations underperform, cost inflation runs hot, and the ramp-up is slower than planned. Even here, the project returns a marginally positive NPV over 10 years, but payback stretches to seven or eight years. That is a long time for a convenience retail investment and would test management patience. IRR in the downside drops close to the cost of capital. The project survives, but barely.

The gap between upside and downside is wide. That is normal for retail expansion projects where location quality is the dominant variable. It is also why a phased rollout makes sense. Opening five stores first lets the group calibrate assumptions against real performance before committing to the full programme.

7. Risk Assessment

Location and Planning Risk

Site selection is the single biggest risk factor. A convenience store in the wrong catchment will underperform regardless of how well it is managed. Planning permission in urban areas can also be unpredictable, particularly where there is local opposition to late-night trading or concerns about deliveries. The group should secure planning consent on all 15 sites before committing capital to fit-out.

Competitive Risk

Discounters and quick-commerce delivery platforms are both competing for the same customer occasions. A new convenience store that opens into a catchment where a discounter has recently arrived will face a tougher first year than the model assumes. The site selection process needs to include a competition audit for each proposed location.

Cost Risk

Construction and fit-out costs have been volatile in recent years. Labour shortages and materials inflation could push capex above the modelled range. The downside case allows for this (£500,000 per store), but a sharper spike would erode returns further. Fixed-price contracts with fit-out contractors would reduce this exposure.

Macroeconomic Risk

A broader economic slowdown would affect consumer spending, particularly on higher-margin convenience items. The grocery staples portion of revenue is relatively defensive, but the prepared food and drink categories that drive margin improvement are more discretionary. A recession scenario would sit between the base and downside cases.

Operational and Staffing Risk

Urban locations face higher staff turnover and more difficulty recruiting than suburban ones. Labour market tightness in city centres is a structural issue, not a cyclical one. The model accounts for this through higher base staff costs in the downside case, but persistent vacancies could affect service quality and trading hours even if costs are within budget.

8. Recommendation

The investment case for 15 new urban convenience stores is strong on the numbers and consistent with Harbourn Retail Group's strategic direction. The base case delivers compelling returns with NPV of approximately £9.2 million and IRR around 28%. Even the downside case generates a marginally positive NPV over the 10-year horizon.

The recommendation is to approve the programme, but with a phased approach. The group should commit to the first five stores, targeting the strongest available locations. Performance from that initial tranche (measured over 6 to 9 months of trading) should then inform the decision to proceed with the remaining ten stores.

That phased structure does two things. It limits capital at risk in the early stages. And it generates real trading data to validate the revenue and cost assumptions before the full commitment is made. If the first five stores perform at or above base case, the remaining ten should be approved without delay. If they underperform, the assumptions should be revisited and the programme adjusted accordingly.

The total capital commitment under this phased approach would be approximately £2.25 million for the initial tranche, with the remaining £4.5 million contingent on performance. This balances conviction in the opportunity with prudent capital allocation.

Prepared by the Corporate Finance Division, Harbourn Retail Group.

All modelled figures should be read as directional estimates, not audited numbers. The financial model accompanying this report contains the full detail and is available for audit.